

NOVA.AI

FINANCE STANDARD OPERATING PROCEDURES

Finance

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1. Purpose & Scope

This SOP standardizes financial processes at Nova.ai — budgeting, procurement, invoicing, expense approval, payroll interface, and audit controls — to ensure accuracy, statutory compliance, and accountability. It applies to all employees who raise, approve, or process financial transactions on the Company's behalf.

2. Annual Budgeting Cycle

Department heads submit annual budget proposals to Finance by 15 February each year, covering headcount, vendor contracts, and discretionary spend. Finance consolidates and presents the draft budget to the Executive Leadership Team by 15 March for approval before the new financial year (1 April) begins. Mid-year revisions are permitted once, in October, for material variances exceeding 15% of the approved budget line.

3. Procurement & Vendor Onboarding

- Purchase requisitions above ₹25,000 require a Purchase Order (PO) raised in the Finance system before any vendor commitment is made.
- New vendors must complete onboarding due diligence (PAN/GST verification, bank account validation, conflict-of-interest declaration) before the first PO is issued.
- Three competitive quotes are mandatory for purchases above ₹2,00,000, except for sole-source software/SaaS renewals pre-approved by IT and Finance.
- Contracts exceeding ₹10,00,000 in annual value require Legal review before signature.

4. Approval Matrix

Transaction Value (₹)	Approver	Additional Requirement
Up to 25,000	Reporting Manager	None
25,001 – 2,00,000	Department Head	PO mandatory
2,00,001 – 10,00,000	Department Head + Finance Controller	3 competitive quotes
Above 10,00,000	CFO + CEO	Legal review + Board notification if capex

5. Invoice Processing & Vendor Payments

Vendor invoices are processed only against a valid PO and Goods/Service Receipt confirmation from the requesting department. Standard payment terms are net 30 days from invoice receipt; Finance processes payment runs twice monthly (7th and 22nd). Disputed invoices are flagged within 5 working days of receipt, with resolution owned jointly by the requester and Finance.

6. Employee Expense Reimbursement

Employee expense claims (travel, learning, wellness, and other eligible categories under the Reimbursement Policy) are submitted via the Expense Portal within 30 days of the expense being incurred, with scanned receipts attached. Claims are auto-routed to the Reporting Manager for approval, then to Finance for payment within the next payroll cycle after approval.

Segregation of Duties

No single individual may raise, approve, and disburse the same financial transaction. At minimum, the requester, approver, and payment-processing roles must sit with three different people; violations are escalated to the Risk & Compliance Committee regardless of transaction value.

7. Payroll Interface

HR provides Finance the monthly payroll input file (attendance, leave encashment, new joiners, exits, incentive payouts) by the 20th of each month. Finance reconciles this against the previous cycle before payroll disbursement on the last working day of the month, and statutory deductions (PF, TDS, PT) are remitted to authorities within the deadlines prescribed by law.

8. Statutory Compliance & Filings

Finance maintains a compliance calendar tracking GST returns, TDS filings, PF/ESI remittances, and annual statutory audit timelines. Any missed statutory deadline is reported to the CFO within 24 hours of discovery, along with a remediation plan.

9. Internal Controls & Audit

An internal audit of expense claims, vendor payments, and procurement records is conducted quarterly on a sample basis by an independent internal audit function reporting to the Audit Committee, not to the CFO, to preserve independence. Findings are

tracked to closure within 60 days.

10. Related Documents

Reimbursement Policy · Travel Policy · Asset Management Policy · Employee Handbook (Ch. 2, Company Overview).

This is a synthetically generated sample policy document created for demonstration and RAG-project portfolio purposes. It does not represent an actual company policy.